

in these securities to earn a return on their investments. Security markets are important for raising money for corporations and institutions and also for investors to allocate their money.

The financial market makes the transaction between savers and investors easy. It becomes a one-stop shop for all lenders/investors and borrowers. Hence the market becomes an effective source for capital generation and investment.

In short, there are many things that financial markets make possible. They provide a place where participants like investors and debtors, regardless of their size, will receive fair and proper treatment. They facilitate individuals, companies, and government organizations with access to capital. The financial markets help lower the unemployment rate because of the many jobs they offer. By allowing a free market for the flow of capital, financial obligations, and money the financial markets make the global economy run more smoothly while also allowing investors to participate in capital gains over time.

Financial markets exist for several reasons, but the most fundamental function is to allow for the efficient allocation of capital and assets in an economy. Mentioned below are the important functions of the financial markets:

- i) Create securities products that provide a return for those who have excess funds (Investors/lenders) and make these funds available to those who need funds (borrowers).
- ii) Mobilizes savings and trading it in the most productive methods.
- iii) Assist in price discovery of securities through interaction with the investors and depending on the demand and supply in the market.
- iv) Provide liquidity to bartered assets.
- v) Less time-consuming and cost-effective as parties don't have to spend extra time and money to find potential clients to deal with securities. They also decrease costs by giving valuable information about the securities traded in the financial market.

To recapitulate, financial markets put savings into more productive use, determine the price of securities, make financial assets liquid, and lower the cost of transactions.

Check Your Progress 1

- 1) What is the significance of the financial system?

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2) What is the financial market?

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3) What are the different types of financial markets?

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1.5 FINANCIAL INSTRUMENTS

Any asset which holds capital and can be traded in the market is referred to as a financial instrument. A financial instrument, an intangible asset is a claim against a person or an institution for the payment at a future date of a sum of money and/or a periodic payment in the form of interest or dividend. It is a tradable asset representing a legal agreement or a contractual right to evidence the monetary value/ownership interest of an entity. Financial instruments are typically traded in **financial markets** where the price of a security is arrived at based on the play of market forces.

Key financial instruments that are traded in the stock market include shares, stocks, bonds, derivatives, mutual funds, cheques etc. Investing in financial instruments carries a financial risk.

1.5.1 Types of Financial Instruments

There are typically three types of financial instruments: cash instruments, derivative instruments, and foreign exchange instruments. Furthermore, the financial instruments can be classified based on the 'asset classes' into 'equity-based' or 'debt-based'. If the instrument is debt, then it can be further categorized as 'short-term debt' and 'long-term debt'. Foreign exchange instruments and transactions are neither debt- nor equity-based and belong in their category.

Financial instruments can also be split into two categories: *Complex and Non-complex*. Complex financial instruments require in-depth knowledge for traders to be successful when trading them. The most commonly traded complex financial instruments are derivatives. These can be contracts for differences (CFDs), futures contracts and options. Different derivatives have different benefits. Non-complex financial instruments can be traded without a

vast amount of specialist knowledge which include shares or equity securities, as well as debt securities and certain types of investment funds.

Further, financial securities may be primary or secondary securities. Primary securities are also termed direct securities as they are directly issued by the ultimate borrowers of funds to the ultimate user. Secondary security is a term used to explain the financial market where securities are purchased from other investors.

Cash instruments: Cash instruments are those whose value is determined directly by the markets. They can be securities, which are readily transferable and loans and deposits, where both borrower and lender have to agree on a transfer.

Derivatives: A derivative is a financial instrument such as options, forward exchange contracts etc. issued for various types of underlying assets, whose value depends on or is derived from one (or more) of underlying instruments.

Check Your Progress 2

- 1) Define financial institutions and also differentiate between different types of financial institutions.

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- 2) Define financial instruments. Distinguish between primary securities and secondary securities.

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- 3) What are financial services? Give some examples.

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1.6 LET US SUM UP

In this unit, we discussed the nature of the financial system. It is a complex, well-integrated set of sub-systems of financial institutions, markets, instruments, and services which facilitate the transfer and allocation of funds,

efficiently and effectively. Two important classifications of financial institutions are Banking institutions and non-banking institutions and Intermediaries and non-intermediaries. The units outlined financial markets as mechanisms enabling participants to deal with financial claims. Two important classifications of financial markets are Primary market and secondary market, Money market and Capital market. The unit also deliberated about the financial instrument as a claim against a person or an institution for the payment at a future date of a sum of money and/or a periodic payment in the form of interest or dividend. We discussed financial services rendered by financial intermediaries that bridge the gap between the lack of knowledge and information on the part of investors in the face of growing sophistication of financial instruments and markets.

1.7 KEY WORDS

Cryptocurrency	: Decentralized digital assets that are based on blockchain technology.
Derivative	: It is a financial instrument such as options, forward exchange contracts etc. are issued for various types of underlying assets, whose value depends on, or is derived from one (or more) of underlying instruments.
Financial institutions	: All kinds of organizations intermediate and facilitate financial transactions of both individual and corporate customers.
Financial instrument	: is a claim against a person or an institution for the payment at a future date of a sum of money and/or a periodic payment in the form of interest or dividend.
Financial market	: It is referred to as space, where the selling and buying of financial assets and securities take place. The trade of buying and selling securities, derivatives, commodities, forex, etc. is carried on in financial markets.
Financial system	: It is a complex, well-integrated set of sub-systems of financial institutions, markets, instruments, and services which facilitate the transfer and allocation of funds, efficiently and effectively.
Primary markets	: deal in the new financial claims or new securities, and, therefore, they are also known as ‘new issue markets’.
Primary securities	: They are direct securities as they are directly issued by the ultimate borrowers of funds to the ultimate user.

- Secondary markets** : deals in securities already issued or existing outstanding.
- Secondary security** : is a term used to explain a financial market where securities are purchased from other investors.

1.8 SOME USEFUL REFERENCES

Houthakker, H. S., & Williamson, P. J. (1996). *The Economics of Financial Markets*. Oxford University Press, USA.

Mishkin, F. S., & Eakins, S. G. (2006). *Financial Markets and Institutions*. Pearson Education India.

1.9 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) A financial system is a complex, well-integrated set of sub-systems of financial institutions, markets, instruments, and services which facilitate the transfer and allocation of funds, efficiently and effectively between different economic agents.
- 2) Mechanism enabling participants to deal with financial claims.
- 3) A. Primary market and secondary market and B. Money market and Capital market.

Check Your Progress 2

- 1) Financial institutions are business organisations that act as mobilisers and depositors of savings and as purveyors of credit or finance. Banking Institutions are “creators” of credit, and the non-banking Institutions as “purveyors” of credit. Intermediaries intermediate between savers and investors while non-intermediary institutions are in the lending business.
- 2) A claim against a person or an institution for the payment at a future date of a sum of money and/or a periodic payment in the form of interest or dividend. Primary securities are also termed direct securities as they are directly issued by the ultimate borrowers of funds to the ultimate user. Secondary security is a term used to explain the financial market where securities are purchased from other investors.
- 3) facilitating transactions, mobilizing savings, allocating capital, monitoring management.

UNIT 2 FINANCIAL INTERMEDIATION

Structure

- 2.0 Objectives
- 2.1 Introduction
- 2.2 Concept of Financial Intermediation
 - 2.2.1 Direct and Indirect Finance
 - 2.2.2 Intermediaries and Non-intermediaries
- 2.3 Types of Financial Intermediaries
- 2.4 Function and Roles of Financial Intermediaries
- 2.5 An Overview of the Indian Financial System
- 2.6 Regulation of Financial Institutions
- 2.7 Let Us Sum Up
- 2.8 Suggested Readings
- 2.9 Key Words
- 2.10 Answers/Hints to Check Your Progress Exercises

2.0 OBJECTIVES

After going through this unit, you will be able to:

- Explain the concept of direct and indirect finance;
- Examine the concept of financial intermediaries;
- Describe the features of financial intermediaries; and
- Provide an overview of the evolution of the Indian Financial System.

2.1 INTRODUCTION

As discussed in Unit 1, the financial system consists of financial institutions, financial markets, financial services, financial instruments, financial practices and financial transactions. We already know that the term financial institutions refer to all kinds of organizations which intermediate and facilitate financial transactions of both individual, corporate and public entities. Many financial institutions perform the role of financial intermediaries. They are intermediaries between the savers and borrowers of funds. Financial institutions have several functions that assist the economic agents in fulfilling their various needs. They deal in all types of finance-related businesses and gaining prominence in broadening the finance-related services in the country. They play a crucial role in the

economy. In this unit, we will study more about financial intermediaries and provide an overview of the Indian financial system.

2.2 CONCEPT OF FINANCIAL INTERMEDIATION

2.2.1 Direct and Indirect Finance

The two primary ways through which funds are channelled from savers to borrowers in an economy are direct and indirect finance. These concepts relate to the mechanisms by which financial resources move between those who have excess funds (savers) and those who need funds (borrowers). In direct finance, funds are directly provided by savers to borrowers in the financial markets without the involvement of any intermediary. In indirect finance, there is a special kind of 'middleman', a third party that stands between borrowers and lenders. This 'middleman' is known as a financial intermediary. The role of a financial intermediary is to accumulate funds from parties that have excess funds (the savers) and make those funds available to those who have deficient funds and need those funds (the borrowers). While we will discuss various types of financial intermediaries shortly, let us discuss here one of the financial intermediaries: banks. Banks are financial intermediaries because they accept deposits, and then provide loans from these funds to borrowers. Banks pay depositors interest on their deposits and receive interest payments from borrowers on the loan advanced. The bank is in the middle, as an intermediary and aims to earn a profit on the spread between the rate of interest charged to borrowers and the rate of interest paid to depositors.

As mentioned, a financial intermediary is like a middleman; so is a broker who facilitates exchange between borrowers and lenders in financial markets where direct finance is involved. But there is a difference between brokers and financial intermediaries: a broker brings together borrowers and lenders but does not lend to borrowers or issue bonds. All that a broker does is facilitate transactions involving direct finance and charge a commission for his services rendered. A broker does not create any financial instrument. In contrast to this, financial intermediaries lend to borrowers by creating and issuing their securities, for example: bonds. A financial intermediary does not merely bring borrowers and lenders together; financial intermediaries themselves give loans to lenders. They earn profits by repackaging deposits of savers into loans, and themselves lending to borrowers.

2.2.2 Intermediaries and Non-intermediaries

Intermediaries intermediate between savers and investors; they lend money as well as mobilize savings; their liabilities are towards the ultimate savers, while their assets are from the investors or borrowers. Non-intermediary institutions do the loan business but their resources are not directly obtained from the savers. All banking institutions are intermediaries, many non-banking institutions also act as intermediaries and when they do so, they are known as **non-banking financial intermediaries**.

Financial intermediaries provide key financial services such as merchant banking, leasing, hire purchase, credit-rating, etc. Financial services rendered by the financial intermediaries' bridge the gap between the lack of knowledge and information on the part of investors and growing sophistication of financial instruments and markets.

It may be recalled from Unit 1, financial intermediaries-banking and non-banking — as financial institutions, perform the following functions:

- i) They act as a bridge between savers and investors.
- ii) They reduce the cost of financial services provided.
- iii) They play an important role in the development of financial services in the country.
- iv) They provide consultancy services to clients on their investments related to the financial markets where a huge amount of risk is involved. In this way, they improvise the decision-making process.
- v) They profit by earning higher returns on their investments than they pay for their sources of money.
- vi) The assets of a financial intermediary are the loans, stocks, bonds, and real estate that are the company's investments and its liabilities are its obligations to its customers, which include deposits, insurance policies, and pension payouts.

Check Your Progress 1

- 1) State the meaning of finance and financing.

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- 2) What are intermediaries and non-intermediaries?

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- 3) Differentiate between direct and indirect finance.

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2.3 TYPES OF FINANCIAL INTERMEDIARIES

As we discussed earlier, financial intermediaries play a very important role in the financial system by facilitating the flow of funds between savers and

borrowers. There are various types of financial intermediaries, each serving a specific function in the financial markets. Some of them are:

- Commercial Banks; e.g. State Bank of India, HDFC Bank, ABN AMRO Bank, PNB, HSBC Bank, etc. They are traditional financial intermediary that accept deposits from savers and provide loans to individuals, businesses, and governments.
- Development Banks, e.g. IDBI, NABARD, SIDBI, etc.
- Finance companies
- Insurance Companies collect premiums from policyholders in exchange for coverage against various risks and invest the collected premiums to generate returns.
- Life Insurance Companies; LIC, Allianz, AIG etc.
- Mutual Funds, Standard Chartered Mutual Fund, Morgan Stanley Mutual Fund, SBI Mutual Fund etc.
- Pension Funds; e.g. EPF (Employees Provident Fund), PPF (Public Provident Fund). They manage retirement savings on behalf of individuals and employees. They invest these funds in a diversified portfolio of assets, including stocks, bonds, and real estate, to generate returns that can be used to pay retirees.
- Credit Unions. They are similar to banks and offer a range of banking services. However, they are typically owned by their members as cooperative societies and operate as nonprofit organizations.

2.4 FUNCTIONS AND ROLES OF FINANCIAL INTERMEDIARIES

Financial institutions as intermediaries work in tandem with each other to create a fully interdependent financial system. The importance of financial institutions lies in the fact that they provide services which lead to a smooth functioning of the financial system. They allow the exchange of funds between lenders, investors, and borrowers. There are three aspects to the process by which saving is channelled to investors through the financial system: (i) the amount of savings and the resulting investment that are raised in the economy, (ii) the question of who saves and who invests and how do they do that respectively, and finally, (iii) the flow of funds through financial institutions and markets as money passes on its way from savers to investors. Financial institutions have specific function in all these stages in an economy and how well the financial system and its institutions are organised to facilitate these stages contributes to the growth of economic activity. Some of these functions are as under:

Directing the Payment System: One of the primary functions of financial institutions is managing the payment system. Payment system refers to

everyday commercial transactions that involve individuals and businesses. Financial institutions keep the payment system in motion through checking and savings accounts, debit and credit cards, and wire transfers. These methods of exchange allow individuals, businesses and institutions to handle their financial transactions daily.

Assisting with Resources and Capital: Financial institutions help individuals and corporations with resources and capital management by extending credit to those who can pay it back. Banks and other institutions can pool resources together to allow others to borrow money. Loans and credit cards allow families and companies to borrow funds and pay them back on a regular schedule. Acquiring capital for a new or existing business or personal project can be difficult, so financial institutions help people and businesses have access to the capital they need to be successful.

Moving Financial Resources: Financial institutions provide the movement of resources from place to place. These institutions assist with larger transfers of funds like corporate investments, purchases of real estate, and construction loans, as well as other larger transactions. Financial institutions can transfer resources from one party to another more easily and with more flexibility than individuals or corporations can, which makes this function so crucial.

Risk Management: Financial institutions handle risk and uncertainty for businesses and households. Insurance companies and other entities in the financial sector allow many individuals to collectively pool and distribute risk, making it easier to manage accidents and various difficulties that occur in professional or personal contexts.

Informing Financial Decisions: Financial institutions provide key information that makes decisions easier. Whenever key monetary decisions are made, one can very well appreciate the importance of such information. The information that financial institutions provide allows individuals and corporations to make informed and secure decisions in real time. They give a high-rated consultancy to the customers for their beneficial investments.

Sustaining the Market: Financial institutions also make it possible for individuals and other entities to invest in the stock market. Investors can make long-term or short-term ventures into the market for the promise of a higher return. Institutions like brokers and stock exchanges allow companies to issue stock to have more cash flow based on investors purchasing stock. Often, the stock market drives the pulse of the financial sector as a whole.

These days' financial institutions have a very broad spectrum of functions and with creativity and innovation, new areas of activities are being added regularly. They serve as a depository for their customers and make efforts to minimize the monitoring cost for customers.

In short, all the finance-related work such as managing assets, rate of return, liquidity, mobilization of savings, capital formation, maturity and risk